# MACROECONOMICS

MACRO-44

**Time:** 5 minutes

**Outcome:** Distinguish curve shifts from movements and predict the new equilibrium.

**Difficulty:** Intermediate

# Loanable-Funds Shifts

## THE CORE IDEA

A change in national saving shifts loanable-funds supply; a change in expected investment profitability shifts demand. Saving incentives or higher public saving can shift supply right. A larger budget deficit can shift supply left. Investment tax incentives, technology, or stronger expected sales can shift demand right. The real interest rate itself causes movement along both curves.

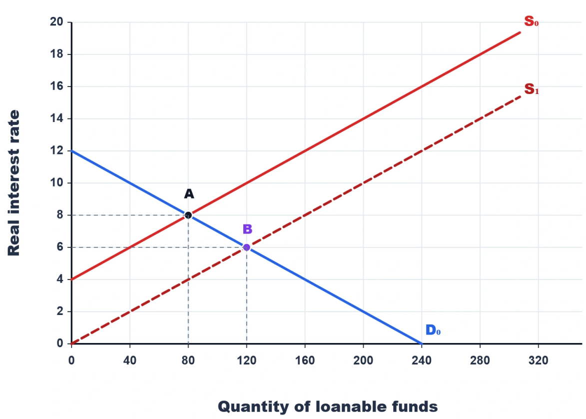
## HOW TO RECOGNIZE IT

- More saving at every real rate shifts supply right; less saving shifts it left.
- More profitable investment projects shift demand right; fewer shift it left.
- Supply right lowers the real rate and raises equilibrium funds.
- Demand right raises both the real rate and equilibrium funds.

## WATCH OUT

Do not shift a curve because the equilibrium real rate changed. First identify the non-rate event; then move along the other unchanged curve to the new equilibrium.

## WORKED EXAMPLE: A SAVING INCENTIVE




A tax incentive makes households more willing to save at every real rate. Supply shifts right from S0 to S1 while investment demand D0 stays fixed. Equilibrium moves from A to B: the real rate falls from 8 to 6 percent and loanable funds rise from 80 to 120.

## CHECK YOURSELF

New technology raises expected returns on capital. Which curve shifts, and what happens to the real rate?

**READY?** Return to the game and master this concept.